

The Cost of Being Right

Why Being Early Looks Identical to Being Wrong

You've seen it before. Some retail trader on Twitter posts a bold take about a market crash coming. Gets mocked relentlessly. Then six months later, the crash happens exactly like they said – and they're nowhere to be found. No "I told you so." No victory lap. Just silence.

And you think: *They were right. They called it.*

Except they're not right. They're just early. And in this game, early is just a polite word for wrong.

I've been there. Not on Twitter (I'm a chipmunk, I don't have thumbs), but in the markets. Watched people with immaculate theses get absolutely decimated because the one thing they forgot to account for was time. The one variable that doesn't care how smart you are.

This is the hard truth nobody teaches you: being right and making money are orthogonal pursuits. You can be 100% correct about the future and still go broke. The markets don't grade on a curve. They grade on survival.

The Illusion of Being Right

Here's the thing nobody tells you about conviction: it's the most expensive emotion in trading, and I mean that literally.

You know that feeling – when you've done the research, built the model, run the numbers, and you *know* you're right about this trade. Every synapse in that big brain of yours is firing that certainty signal. Your chest puffs up when someone questions your thesis. You're already mentally spending the profit at a nice dinner you'll never actually eat because you'll still be staring at charts when the restaurant closes.

That feeling? It's a trap. It's the sweetest trap in the world.

The markets don't care how right you are. They care about timing. And timing is the thing you have zero control over, no matter how beautiful your analysis is. You can be right that a stock is overvalued. You can be right that the Fed is making a mistake. You can be right that a sector is a bubble. And you can still lose everything because your timing is garbage and time is working against you.

I watched a trader last year – smart guy, actually smart, not the performative kind – call the exact top in Bitcoin around \$69,000. Down to the dollar. Posted his thesis everywhere. Got ratio'd into oblivion by the permabulls. Then Bitcoin crashed 70% exactly where he said.

He made \$0.

Why? Because he was right about price but wrong about *when*. He used leverage. Time decay ate his position alive while he was “waiting to be proven right.” He ended the year down 40% even though his market call was literally perfect. Called the exact top and still got destroyed. That’s not bad luck. That’s the market doing what it always does: humbling the confident.

The cruelest joke in trading: you can be correct about the direction and still go broke. It happens every day. It happens to geniuses. It will happen to you if you’re not careful.

The Calibration Trap

This is where most traders destroy themselves. Not with stupid trades – with *confident* trades that feel smart.

There’s a psychological term you’ve probably heard: overconfidence bias. It sounds like something you’d learn in Psych 101 and forget about. But it’s the most dangerous thing in your trading account. It means the more certain you feel, the less likely you are to question yourself. And the less you question yourself, the more you double down when things go wrong.

Here’s how it plays out, and I’ve watched this exact sequence destroy accounts:

1. You take a position based on thesis A. You’re feeling good. 7/10 confidence.
2. Trade goes against you 5%. “That’s fine, expected volatility.”
3. You feel certain – “The market doesn’t understand the thesis yet.” 8/10 confidence.
4. You add to the position. Average down. Show that volatility who’s boss.
5. Trade goes against you another 10%. “This is the opportunity of a lifetime.”
6. You feel *more* certain – “Everybody’s wrong and I’m right.” 9/10 confidence.
7. You add more. YOLO the remaining capital because this is definitely the bottom.
8. Account goes boom. Not with a whimper. With conviction.

Your conviction didn’t change. Your position got bigger and your conviction stayed the same. Those two things together is a bomb. Conviction + size = explosion. Not because you were wrong, but because you were right and couldn’t afford to wait for it.

There’s a difference between conviction that’s earned and conviction that’s ego. Most conviction is ego.

Being Right vs. Making Money

Let me say this clearly, slowly, so it sinks in: these are two completely different games.

Being right is about prediction. Making money is about risk management. The overlap is small.

You can be right about:

- The Fed pivoting too late
- A company being overvalued
- A sector bubble popping
- A country defaulting
- Oil going to \$200
- The next great depression

And still lose everything because:

- You didn't size the position right
- You didn't have a stop loss
- You didn't account for time
- You didn't have an exit plan
- You got margined out
- You panicked at the worst moment

The market is a popularity contest that runs on its own schedule. It follows rules that make sense in hindsight and absolutely no sense in real time. Being right means nothing if you can't survive long enough to be proven right.

There's a famous quote from a trader whose name I'm going to steal: "The market can stay irrational longer than you can stay solvent."

Read that again. Let it marinate. The market will wait you out. It has infinite patience and deeper pockets than you do. Your conviction is the thing that breaks first. Not because you're weak, but because markets are patient in a way that humans literally cannot be.

The Different Games

Here's why this matters so much.

When you "win" a trade, there are two ways it can happen:

1. **You were right, and you were right at the right time.** This is the fantasy. This is what everyone dreams about. Called the top, sold the top, bought the bottom, rode it up. This is the 1-in-100 trade.
2. **You were right, but the market hadn't priced it in yet.** You were early. The thesis was correct. The timing was wrong. And because trading

is a zero-sum game (with costs), someone had to be wrong on the other side of your trade. That person was the market maker who had more patience than you.

What do winners in this game have in common? They don't care about being right. They care about risk management. They're not trying to prove a thesis. They're trying to make money.

Paul Tudor Jones doesn't have convictions about where the market is going. He has positions that can make money if he's right and lose minimally if he's wrong. That's the difference between him and someone blowing up their account calling tops.

George Soros didn't "believe" in the pound being overvalued. He saw a fundamental inefficiency and bet against it with asymmetric risk. When he was right, he made enormous amounts. When he's wrong, he's said himself – he gets out.

The best traders in the world aren't conviction traders. They're risk managers who occasionally have convictions that backfire and they get out anyway.

Real Examples (This Is The Fun Part)

Long-Term Capital Management (1998)

These weren't amateurs. These were *Nobel Prize-winning mathematicians*. Not the "I have a participation trophy" kind. The actual Nobel Prize. They built the most sophisticated risk model the world had ever seen. They were, by any objective measure, the smartest people in the financial room.

They were also right about a lot of things – until they weren't.

In 1998, they bet on bond spreads converging. It was a "sure thing" based on their models. The spreads *should* have converged. The math was beautiful. Then Russia defaulted unexpectedly, and their beautiful math met the ugly reality of fat tails. Their conviction about convergence killed them. Not because they were wrong – because they were right about convergence but wrong about the path to get there.

The Federal Reserve had to bail them out to prevent a global financial collapse. The smartest people in the world. Right thesis. Blown up anyway. And if you think that can't happen to you because you're smarter than a Nobel laureate, I have some bad news about your self-awareness.

TheReddit Mob and Gamestop (2021)

January 2021. The Reddit crowd was "right" – the stock was hilariously overshorted. The fundamentals didn't justify the price. They were correct about the short squeeze potential. It was, mathematically, a real phenomenon.

And still? 90% of the people who bought at \$300+ lost money. They were right about the squeeze existing in theory and wrong about winning in practice.

You know why? Because they confused being right with buying. The squeeze happened, but it happened so fast and so violently that it had no room for retail to get out. By the time most people heard about it, the squeeze was already squeezing. The people who made money were the ones who sold into the chaos. The ones who “were right” held all the way down and lost 90%.

Being right about a fundamental doesn’t mean the price action will accommodate you. It never does.

The “It’s Different This Time” Crowd

Every bubble has its prophets. Every crash has its “I saw this coming” crowd. The pattern is always the same:

- Early call, before the thesis plays out
- Mockery from the crowd
- Doubling down on conviction
- Occasional vindication (usually partial)
- But statistically? The people who call crashes early are usually wrong more often than right

Listen, I’m not saying don’t have convictions. I’m saying your conviction is not data. It’s not a signal. It’s a feeling. And feelings are the enemy of making money.

Think about how many people called the 2008 crash early and got destroyed. Some of them were right – in 2007, 2006, even 2005. They saw the warning signs. They were right about the fundamental picture.

They were also early by years, and they got chewed up by the same market they’d correctly identified as broken.

The Psychology of Being Right

There’s something deeper going on here. This isn’t just about trading. This is about identity.

When you build a thesis, you’re not just building a financial model. You’re building an identity around being right. You’ve staked your reputation. You’ve posted publicly. You’ve told your friends. You’ve told strangers on the internet. You’re committed.

And when the trade goes against you, it’s not just your P&L that’s at stake – it’s your identity. Admitting you’re wrong would mean admitting you were arrogant, that you didn’t know everything, that you’re not as smart as you thought.

That's too much for most people to bear.

So they do the rational thing: they hold. They add. They convince themselves the thesis is even better now because it's cheaper. They entrench their identity deeper instead of cutting the trade.

This is why I say conviction is the most expensive emotion. It costs you your identity to be wrong, and that identity cost is higher than the financial cost. You can't afford to be wrong because being wrong feels like dying.

But here's the secret: being wrong is information. Being wrong is the best thing that can happen to your trading, because it means you're learning. Every losing trade that's killing you is actually a message from the market saying "you're missing something."

The traders who make it aren't the ones who never lose. They're the ones who can afford to be wrong – position size so small that being wrong doesn't hurt, doesn't trigger the identity crisis, doesn't force the add.

Learn to love being wrong. It's data. The alternative is being right and bankrupt.

The Mental Model: Track Your Calibration

Here's what actually works: stop tracking your accuracy. Start tracking your calibration.

What's calibration? It's the relationship between how certain you are and how often you're right.

If you're 90% confident about 10 trades and you get 9 of them right – you're well-calibrated. Your confidence matches your results. Your certainty is signal, not noise.

If you're 90% confident about 10 trades and you get 3 right – you're overconfident. You feel certain but your certainty is noise, not signal. Your calibration is broken.

Most traders are wildly miscalibrated. They feel 80% confident on every trade. They have no idea if their 80% confidence trades actually win 80% of the time. They've never checked. They just feel.

This is the single most valuable thing you can do: keep a journal where you record your confidence level (not your thesis, your confidence) before every trade. Then track whether you were right.

Not whether the trade made money. Whether you were right about the thing you were confident about.

After 50 trades, you'll know something valuable: whether your confidence means anything at all.

If you're 90% confident and you win 30% of those trades, you have a calibration problem. Your conviction is costing you money. Your certainty is broken. You need to lower your conviction, tighten your stops, and size smaller.

If you're 60% confident and you win 60% of those trades, you're probably well-calibrated. Trust your process more. You're probably underbetting.

This isn't sexy. It's not going to make you feel like a genius. It's not going to get you likes on Twitter. But it's going to make you money.

The One Action

This week, I want you to do one thing. One simple, boring thing that will change your trading more than any indicator:

Open a spreadsheet. Any spreadsheet. Two columns.

Column A: "Confidence (1-10)" – Before you enter a trade, write down how certain you feel. Not how much you like the idea. How certain you are that you're right. 1 is "no idea," 10 is "I would bet my house on this."

Column B: "Result" – Did the thing you were confident about actually happen? Not did the trade make money. Did the thesis play out?

After every trade this week, fill in those two columns. Doesn't matter if you win or lose the trade. What matters is whether your certainty was accurate.

At the end of the week, calculate: For all the trades where you felt 8/10 or higher confidence – what's your win rate?

If it's below 60%, your conviction is costing you money. Your certainty is broken. Treat it as a warning sign. Lower your conviction threshold by one point. Trade half size.

If it's above 70%, you're probably underbetting. You have a calibrations that can be trusted. Press slightly.

Your goal isn't to feel less certain. Your goal is to let the data calibrate your certainty. Data doesn't lie. Your feelings do. That's the only kind of certainty worth having – certainty backed by track record.

Summary

Let me bring this together.

Being right is the most expensive feeling in trading. It costs more than spreads, more than fees, more than the margin call that finally takes you out. It costs your ability to see clearly.

Conviction without flexibility is a bomb waiting to explode. The market doesn't care how correct your thesis is – it cares about whether you're solvent when the thesis plays out. Capital allocation is belief management. Position size is identity management.

Being early looks identical to being wrong. Same chart pattern. Same margin call. Same losing trade. The same financial bleeding. The only difference is time, and time is the one thing you can't control.

Track your calibration, not your accuracy. Your confidence is a feeling, not data. Feelings lie. Data doesn't. Learn to love the data.

The goal isn't to be right. The goal is to make money. And the only way to make money – in this game where being right costs you everything – is to survive long enough to be proven right. That's it. That's the whole secret.

Trade small when you're certain. Trade smaller when you're certain AND the trade isn't working. Let the market prove you right. Don't beg it to.

And remember: being right is worthless if you're not around when it matters.

See you tomorrow.

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